

relatively few who tried to squeeze a living out of a profitless Wall Street—had reason to doubt it.

The bear market and credit liquidation of the early 1930s gave the institutions of American finance a top-to-bottom scourging, and the tag ends that remained came in for rough handling in the first Roosevelt administration. Graham had learned his trade in the era of lightly regulated markets. He began work on *Security Analysis* as the Herbert Hoover administration was giving the country its first taste of thoroughgoing federal intervention during a peacetime economy. Graham was correcting page proofs as the Roosevelt administration was implementing its first radical forays into macroeconomic management. By 1934, there were laws to institute federal regulation of the securities markets, federal insurance of bank deposits, and federal price controls (not to put a cap on prices, as in later, inflationary times, but to put a floor under them). To try to prop up prices, the administration devalued the dollar. It is a testament to the quality of Graham's thought, not to mention the resiliency of America's financial markets, that *Security Analysis* gained and held its audience even as the economy was being turned upside down and inside out.

Five full months elapsed following publication of the first edition before Louis Rich got around to reviewing it in the *New York Times*. Who knows? Maybe the conscientious critic read every page. In any case, Rich gave the book a rave, albeit a slightly rueful one. "On the assumption," the critic wrote on December 2, 1934, "that despite the debacle of recent history there are still people left whose money burns a hole in their pockets, it is hoped that they will read this book. It is a full-bodied, mature, meticulous and wholly meritorious outgrowth of scholarly probing and practical sagacity. Although cast in the form and spirit of a textbook, the presentation is endowed with all the qualities likely to engage the liveliest interest of the layman."²

² Louis Rich, "Sagacity and Securities," *New York Times*, December 2, 1934, p. BR13.